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# ACCOUNTING PRINCIPLES

TWELFTH EDITION

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WILEY

# 2 The Recording Process

## Learning Objectives

1. Describe how accounts, debits, and credits are used to record business transactions.
2. Indicate how a journal is used in the recording process.
3. Explain how a ledger and posting help in the recording process.
4. Prepare a trial balance.

LEARNING OBJECTIVE 1

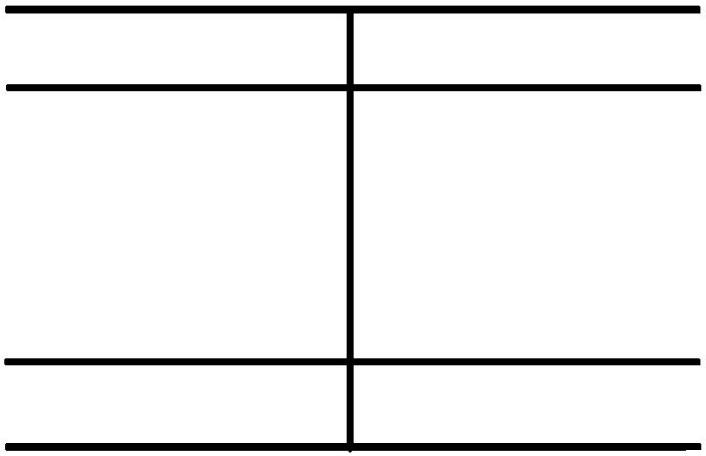
**Describe how accounts, debits, and credits are used to record business transactions.**

## The Account

- Record of increases and decreases in a specific asset, liability, owners' equity, revenue, or expense item.
- Debit = "Left"
- Credit = "Right"

Account Name

**An account can be illustrated in a T-account form.**





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# The Account

## DEBIT AND CREDIT PROCEDURES

### Double-entry system

- Each transaction must affect two or more accounts to keep the basic accounting equation in balance.
- Recording done by debiting at least one account and crediting at least one other account.
- **DEBITS must equal CREDITS**.

# Debits and Credits

**If the sum of Debit entries are greater than the sum of Credit entries, the account will have a debit balance.**

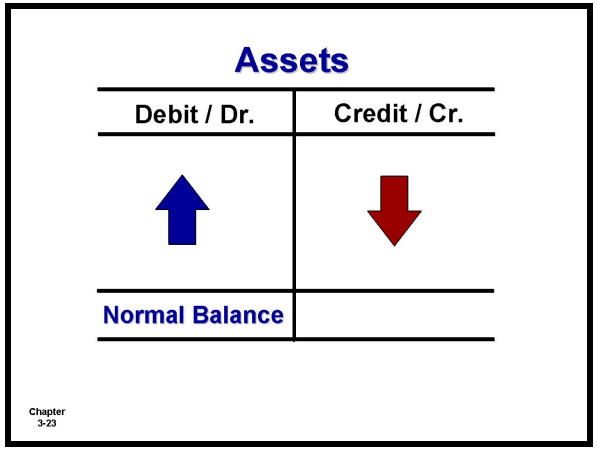
| | Account Name | | |
|---|---|---|---|
| | Debit / Dr. | Credit / Cr. | |
| Transaction #1 | $10,000 | $3,000 | Transaction #2 |
| Transaction #3 | 8,000 | | |
| Balance | $15,000 | | |

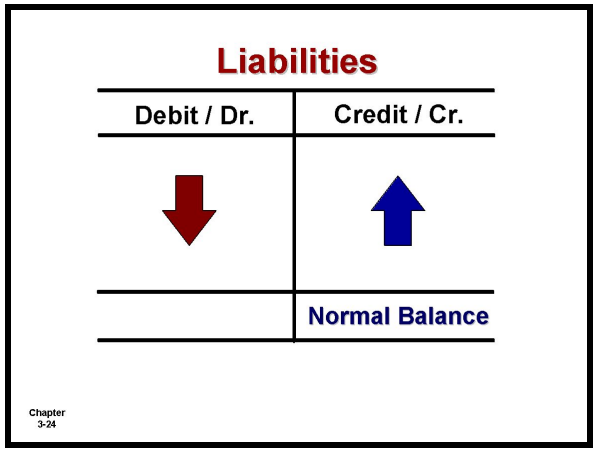
# Debits and Credits

**If the sum of Credit entries are greater than the sum of Debit entries, the account will have a credit balance.**

| | Account Name | | |
|---|---|---|---|
| | Debit / Dr. | Credit / Cr. | |
| Transaction #1 | $10,000 | $3,000 | Transaction #2 |
| | | 8,000 | Transaction #3 |
| Balance | | $1,000 | |

# Debits and Credits



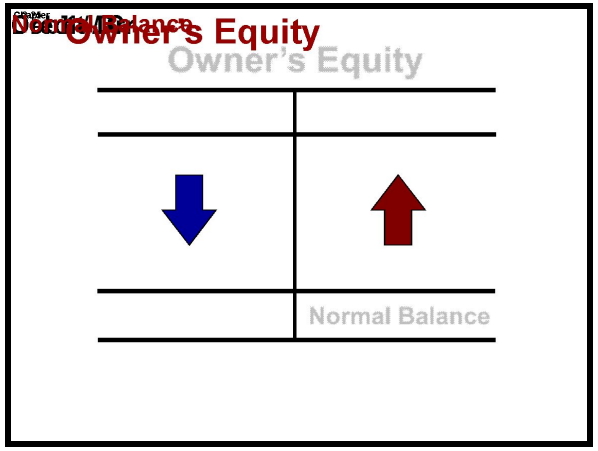




- **Assets** - Debits should exceed credits.
- **Liabilities** – Credits should exceed debits.
- **Normal balance** is on the increase side.

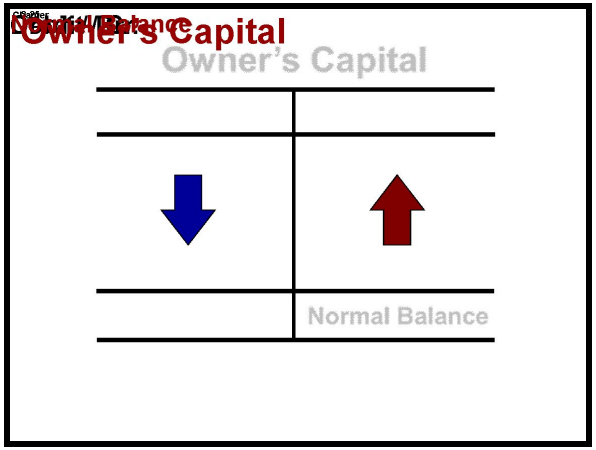


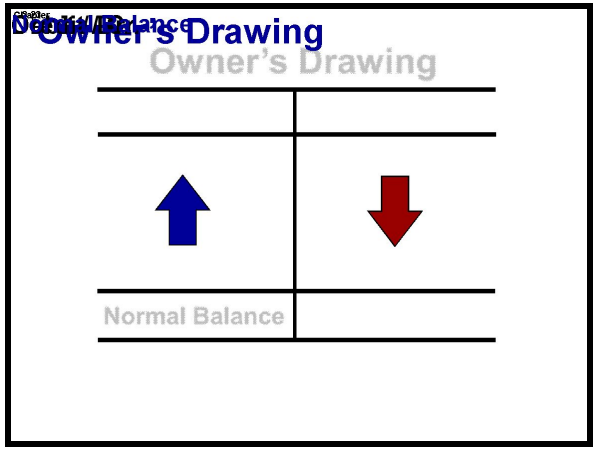
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# Debits and Credits




- **Owner's investments** and **revenues** increase owner's equity (credit).
- **Owner's drawings** and **expenses** decrease owner's equity (debit).



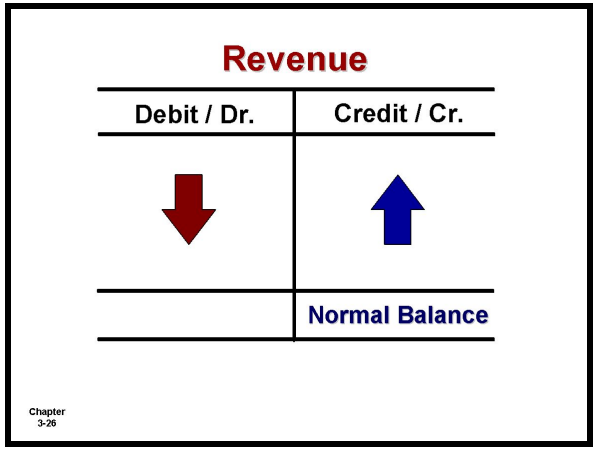



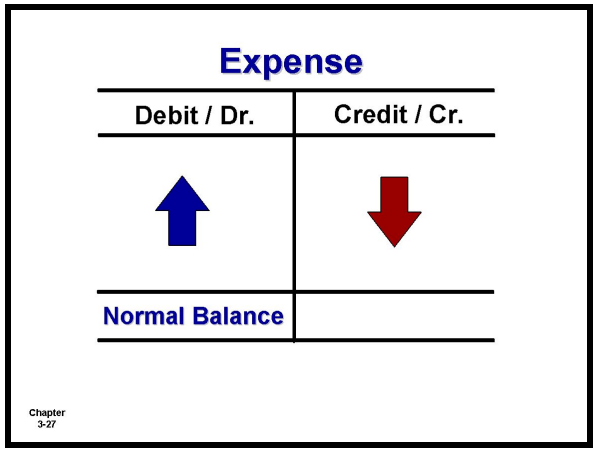

**Helpful Hint** Because revenues increase owner's equity, a revenue account has the same debit/credit rules as the Owner's Capital account. Expenses have the opposite effect.



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# Debits and Credits




- The purpose of earning **revenues** is to benefit the owner(s).
- The effect of debits and credits on revenue accounts is the **same as** their effect on Owner's Capital.
- **Expenses** have the opposite effect: expenses decrease owner's equity.

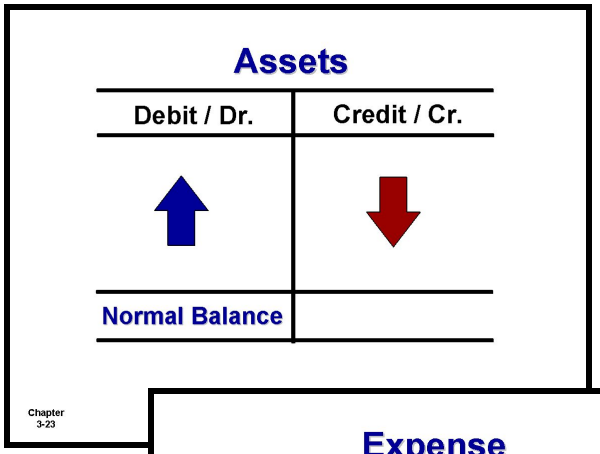


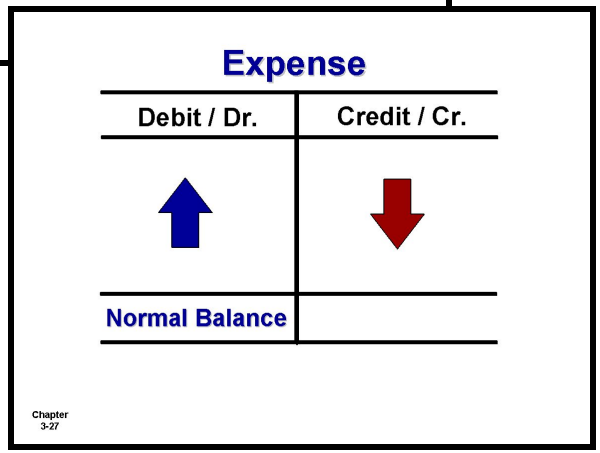
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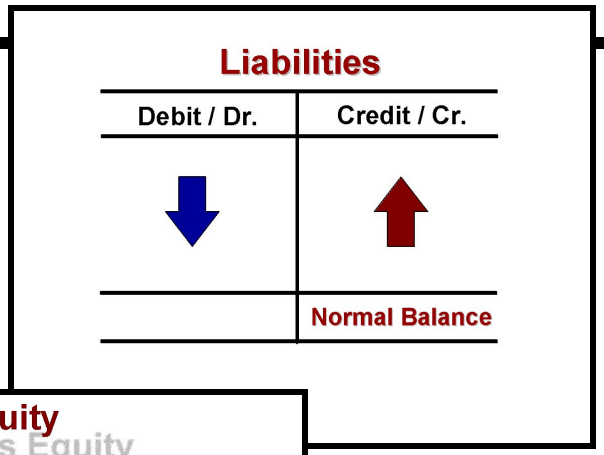
# Debits/Credits Rules

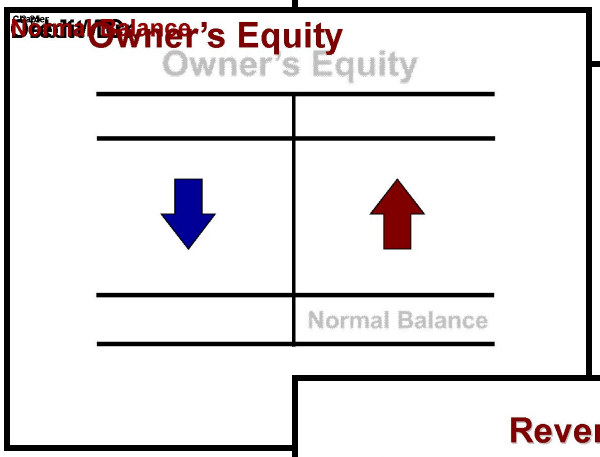
Normal Balance **Debit**

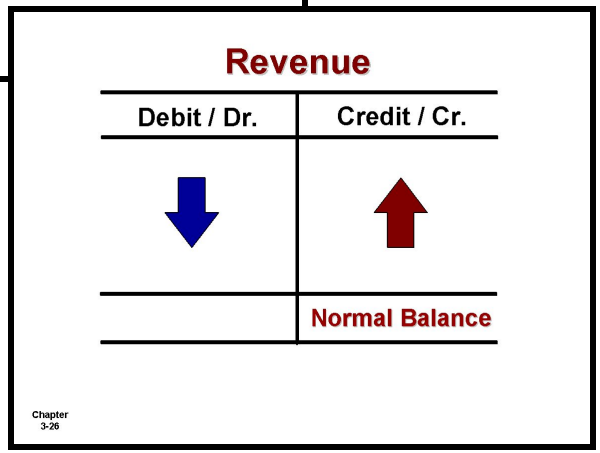
Normal Balance **Credit**



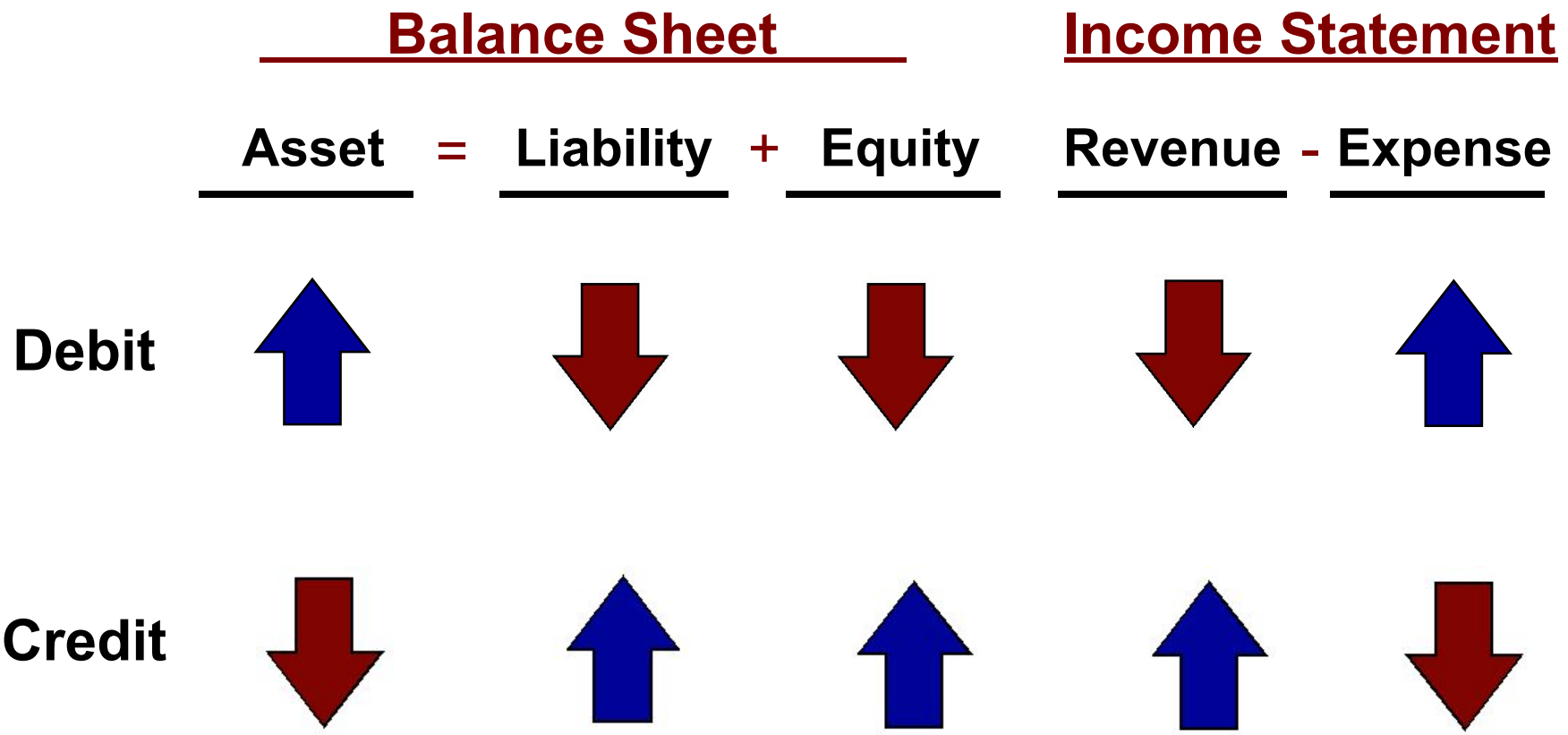






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# Debits/Credits Rules






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# Summary of Debit/Credit Rules

Relationship among the assets, liabilities and owner's equity of a business:

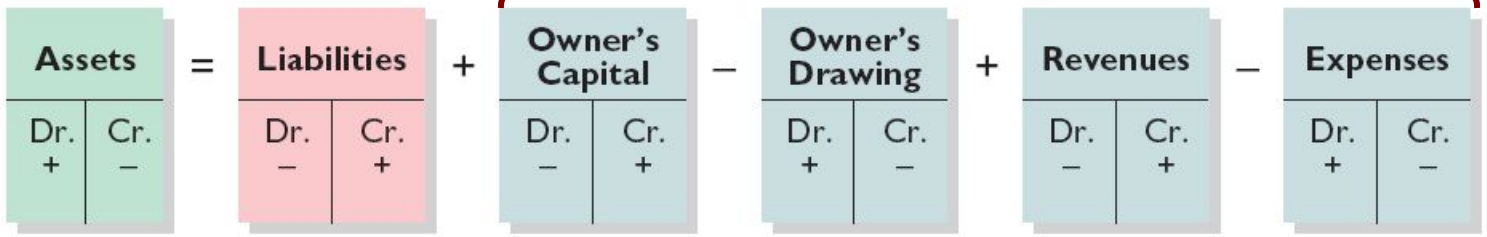
Illustration 2-11

**Basic Equation**

**Assets = Liabilities + Owner's Equity**

**Expanded Equation**

**Debit/Credit Effects**




The equation must be in balance after every transaction. Total **Debits** must equal total **Credits**.



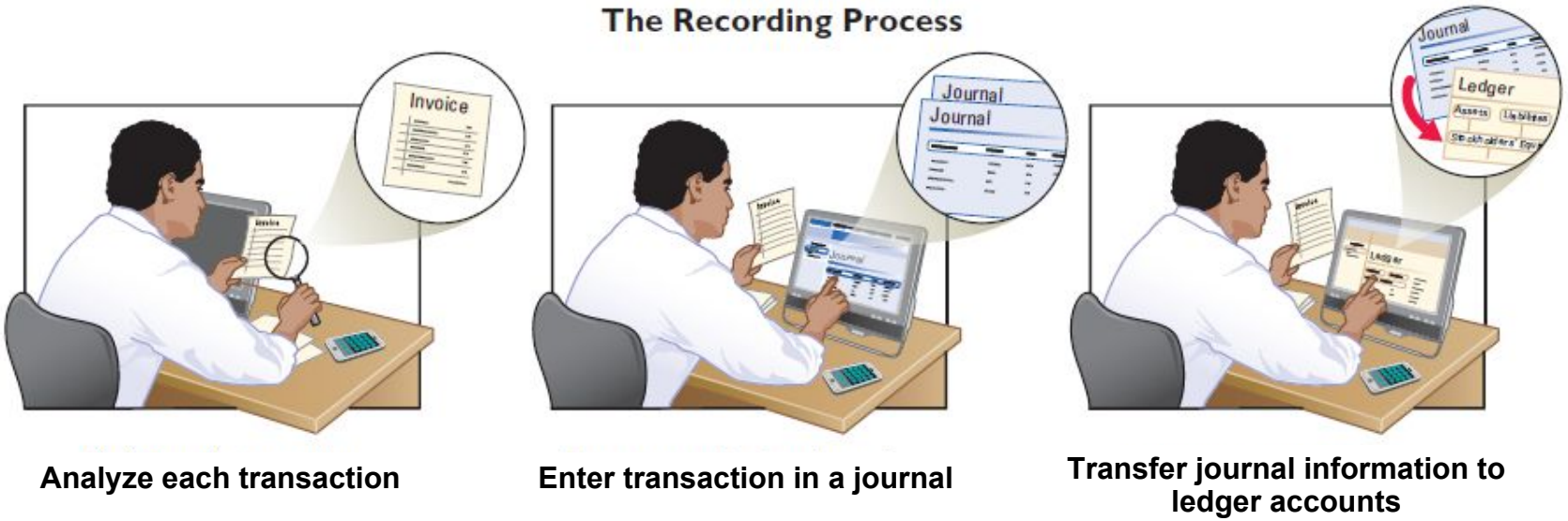
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LEARNING OBJECTIVE 2

**Indicate how a journal is used in the recording process.**

# Steps in the Recording Process

Illustration 2-12




**Business documents**, such as a sales slip, a check, or a bill, provide evidence of the transaction.

# Steps in the Recording Process

## The Journal

- Book of original entry.
- Transactions recorded in chronological order.
- Contributions to the recording process:
  1. Discloses the **complete effects of a transaction**.
  2. Provides a **chronological record** of transactions.
  3. Helps to **prevent or locate errors** because the debit and credit amounts can be easily compared.

# Steps in the Recording Process

**JOURNALIZING** - Entering transaction data in the journal.

**Illustration:** On September 1, Ray Neal invested $15,000 cash in the business, and Softbyte purchased computer equipment for $7,000 cash.

Illustration 2-13

| GENERAL JOURNAL | | | | |
|---|---|---|---|---|
| **Date** | **Account Title** | **Ref.** | **Debit** | **Credit** |
| Sept. 1 | Cash | | 15,000 | |
| | Owner's Capital | | | 15,000 |
| | | | | |
| | Equipment | | 7,000 | |
| | Cash | | | 7,000 |

# Steps in the Recording Process

## SIMPLE AND COMPOUND ENTRIES

**Illustration:** On July 1, Butler Company purchases a delivery truck costing $14,000. It pays $8,000 cash now and agrees to pay the remaining $6,000 on account.

**Illustration 2-14**
Compound journal entry

| GENERAL JOURNAL | | | | |
|---|---|---|---|---|
| **Date** | **Account Title** | **Ref.** | **Debit** | **Credit** |
| July 1 | Equipment | | 14,000 | |
| | Cash | | | 8,000 |
| | Accounts payable | | | 6,000 |
| | | | | |



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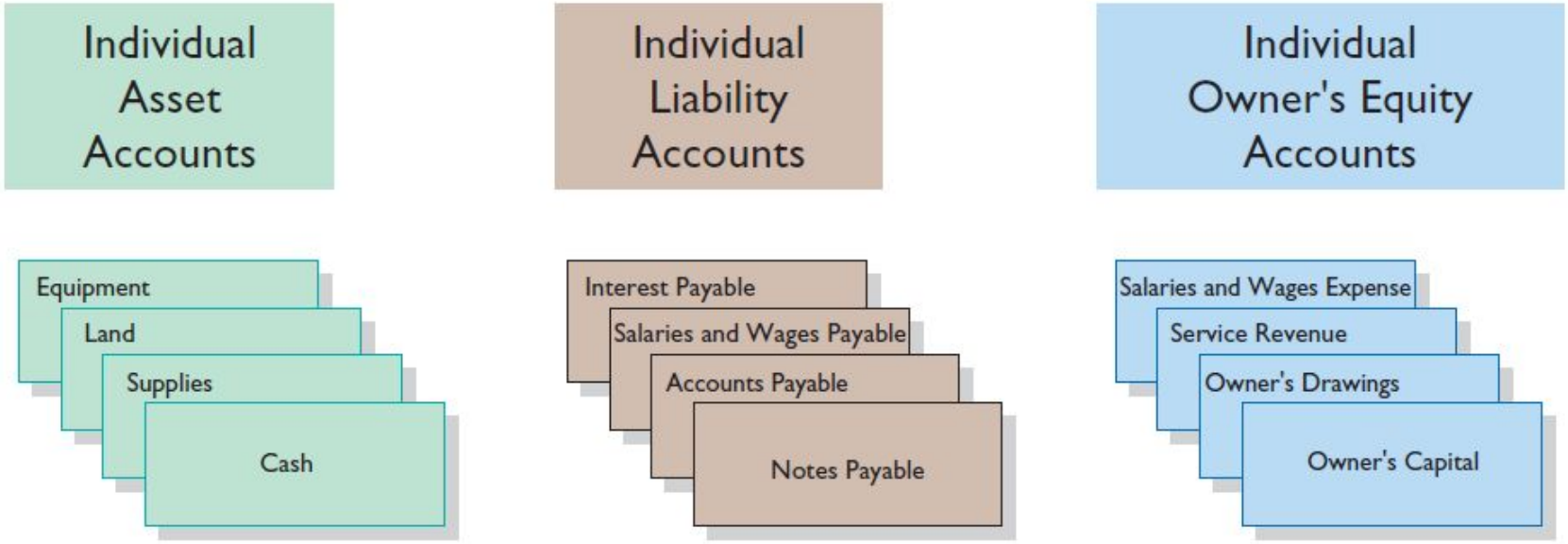
LEARNING OBJECTIVE 3

**Explain how a ledger and posting help in the recording process.**

# The Ledger

- **General Ledger** contains all the asset, liability, and owner's equity accounts.

**Illustration 2-15**






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# The Ledger

## STANDARD FORM OF ACCOUNT

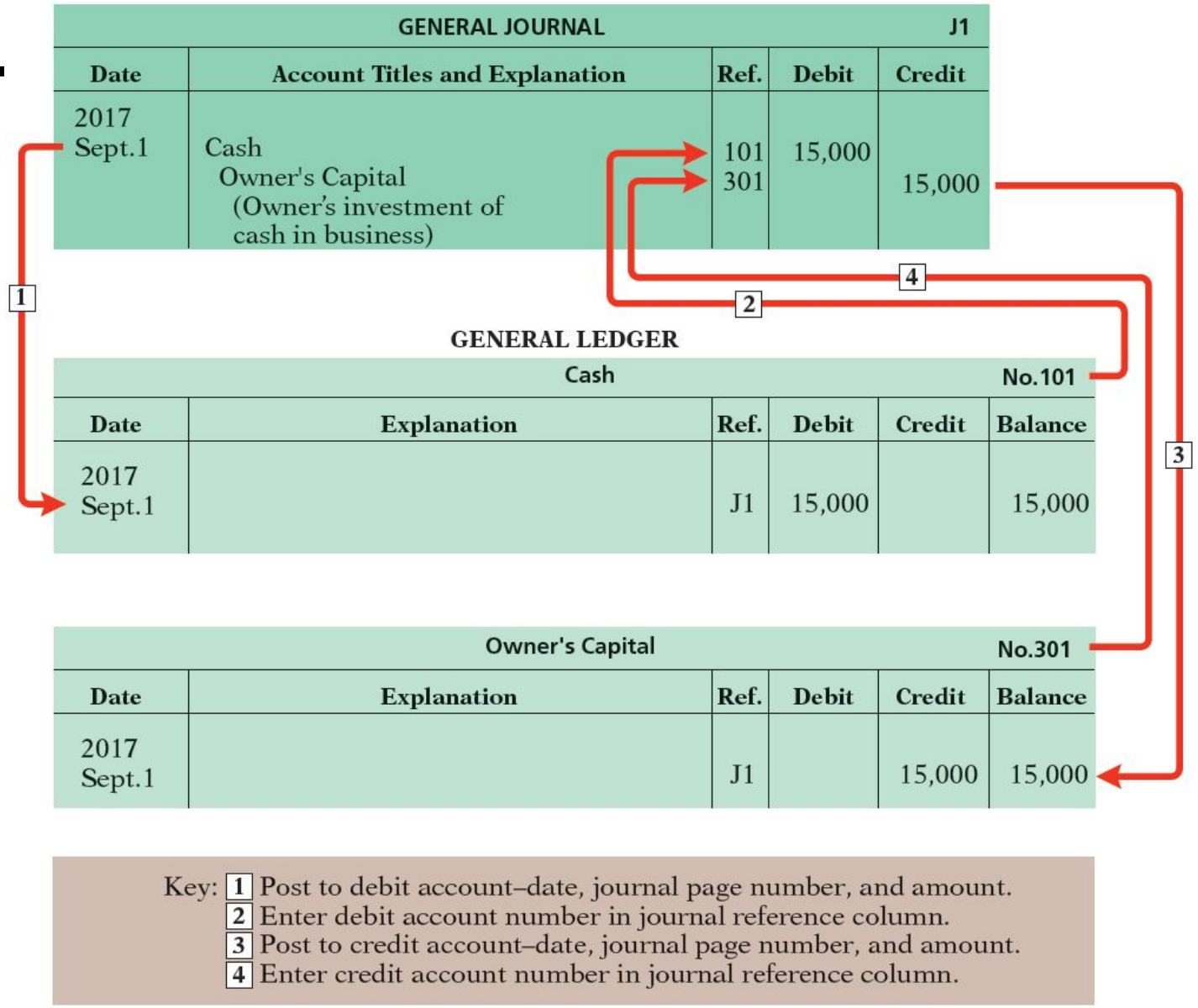
**Illustration 2-16**
Three-column form of account

| CASH | | | | | NO. 101 |
|---|---|---|---|---|---|
| **Date** | **Explanation** | **Ref.** | **Debit** | **Credit** | **Balance** |
| 2017 | | | | | |
| June 1 | | | 25,000 | | 25,000 |
| 2 | | | | 8,000 | 17,000 |
| 3 | | | 4,200 | | 21,200 |
| 9 | | | 7,500 | | 28,700 |
| 17 | | | | 11,700 | 17,000 |
| 20 | | | | 250 | 16,750 |
| 30 | | | | 7,300 | 9,450 |

# Ledger

## POSTING

Transferring journal entries to the ledger accounts.



GENERAL JOURNAL — J1

| Date | Account Titles and Explanation | Ref. | Debit | Credit |
|---|---|---|---|---|
| 2017 Sept.1 | Cash | 101 | 15,000 | |
| | Owner's Capital | 301 | | 15,000 |
| | (Owner's investment of cash in business) | | | |

GENERAL LEDGER

Cash — No.101

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2017 Sept.1 | | J1 | 15,000 | | 15,000 |

Owner's Capital — No.301

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2017 Sept.1 | | J1 | | 15,000 | 15,000 |



Key: 1 Post to debit account–date, journal page number, and amount.
2 Enter debit account number in journal reference column.
3 Post to credit account–date, journal page number, and amount.
4 Enter credit account number in journal reference column.

**Illustration 2-17**
Posting a journal entry



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# Chart of Accounts

Illustration 2-18



**PIONEER ADVERTISING**
Chart of Accounts

**Assets**

101 Cash
112 Accounts Receivable
126 Supplies
130 Prepaid Insurance
157 Equipment
158 Accumulated Depreciation—Equipment

**Liabilities**

200 Notes Payable
201 Accounts Payable
209 Unearned Service Revenue
212 Salaries and Wages Payable
230 Interest Payable

**Owner's Equity**

301 Owner's Capital
306 Owner's Drawings
350 Income Summary

**Revenues**

400 Service Revenue

**Expenses**

631 Supplies Expense
711 Depreciation Expense
722 Insurance Expense
726 Salaries and Wages Expense
729 Rent Expense
732 Utilities Expense
905 Interest Expense



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# The Recording Process Illustrated

**Follow these steps:**

1. Determine what type of account is involved.
2. Determine what items increased or decreased and by how much.
3. Translate the increases and decreases into debits and credits.

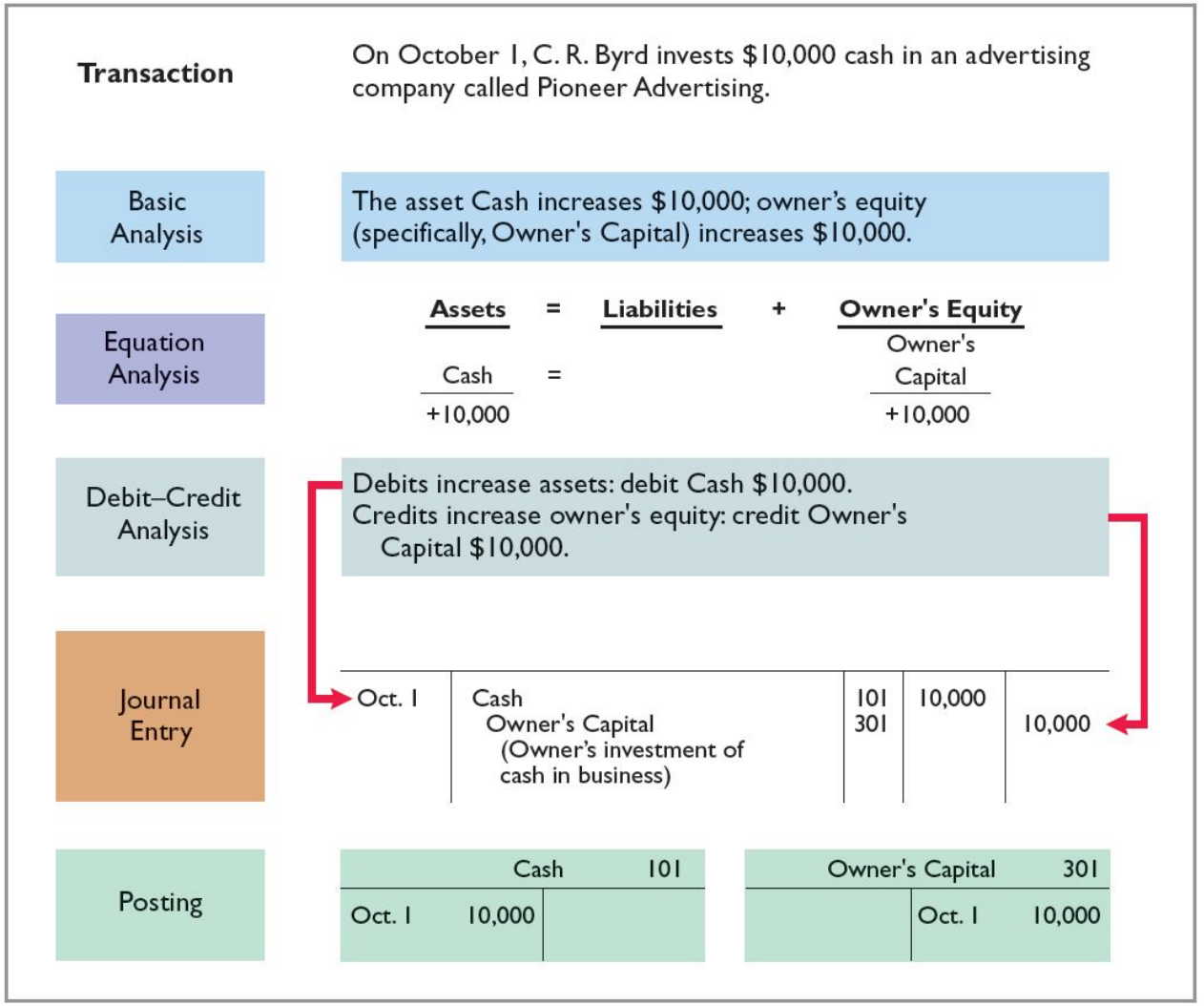



**Illustration 2-19**



***LO 3***

**Transaction**

On October 1, Pioneer purchases office equipment costing $5,000 by signing a 3-month, 12%, $5,000 note payable.

**Basic Analysis**

The asset Equipment increases $5,000; the liability Notes Payable increases $5,000.

**Equation Analysis**

| Assets | = | Liabilities | + | Owner's Equity |
|---|---|---|---|---|
| | | Notes | | |
| Equipment | = | Payable | | |
| +5,000 | | +5,000 | | |

**Debit–Credit Analysis**

Debits increase assets: debit Equipment $5,000.
Credits increase liabilities: credit Notes Payable $5,000.

**Journal Entry**

| | | | | |
|---|---|---|---|---|
| Oct. 1 | Equipment | 157 | 5,000 | |
| | Notes Payable | 200 | | 5,000 |
| | (Issued 3-month, 12% note for office equipment) | | | |

**Posting**

| Equipment | | 157 |
|---|---|---|
| Oct. 1 | 5,000 | |

| Notes Payable | | 200 |
|---|---|---|
| | Oct. 1 | 5,000 |

**Illustration 2-20**
Purchase of office equipment



***LO 3***

**Transaction**

On October 2, Pioneer receives a $1,200 cash advance from R. Knox, a client, for advertising services that are expected to be completed by December 31.

**Basic Analysis**

The asset Cash increases $1,200; the liability Unearned Service Revenue increases $1,200 because the service has not been performed yet. That is, when Pioneer receives an advance payment, it should record an unearned revenue (a liability) in order to recognize the obligation that exists. Note also that although most liabilities have the word "payable" in their title, unearned revenue is considered a liability because the liability is satisfied by providing a product or performing a service.

**Equation Analysis**

| Assets | = | Liabilities | + | Owner's Equity |
|---|---|---|---|---|
| | | Unearned Service | | |
| Cash | = | Revenue | | |
| +1,200 | = | +1,200 | | |

**Debit–Credit Analysis**

Debits increase assets: debit Cash $1,200.
Credits increase liabilities: credit Unearned Service Revenue $1,200.

**Journal Entry**

| | | | | |
|---|---|---|---|---|
| Oct. 2 | Cash | 101 | 1,200 | |
| | Unearned Service Revenue | 209 | | 1,200 |
| | (Received cash from R. Knox for future service) | | | |

**Posting**

| Cash | | 101 |
|---|---|---|
| Oct. 1 | 10,000 | |
| 2 | 1,200 | |

| Unearned Service Revenue | | 209 |
|---|---|---|
| | Oct. 2 | 1,200 |

**Illustration 2-21**
Receipt of cash for future service

**Transaction**

On October 3, Pioneer pays office rent for October in cash, $900.

**Basic Analysis**

The expense account Rent Expense increases $900 because the payment pertains only to the current month; the asset Cash decreases $900.

**Equation Analysis**

| Assets | = | Liabilities | + | Owner's Equity |
|---|---|---|---|---|
| | | | | Rent Expense |
| Cash | = | | | |
| -900 | | | | -900 |

**Debit–Credit Analysis**

Debits increase expenses: debit Rent Expense $900.
Credits decrease assets: credit Cash $900.

**Journal Entry**

| | | | | |
|---|---|---|---|---|
| Oct. 3 | Rent Expense | 729 | 900 | |
| | Cash | 101 | | 900 |
| | (Paid October rent) | | | |

**Posting**

| Cash | | | 101 |
|---|---|---|---|
| Oct. 1 | 10,000 | Oct. 3 | 900 |
| 2 | 1,200 | | |

| Rent Expense | | | 729 |
|---|---|---|---|
| Oct. 3 | 900 | | |

**Illustration 2-22**
Payment of monthly rent

**Illustration 2-23**
Payment for insurance

**Transaction**

On October 4, Pioneer pays $600 for a one-year insurance policy that will expire next year on September 30.

**Basic Analysis**

The asset Prepaid Insurance increases $600 because the payment extends to more than the current month; the asset Cash decreases $600. Payments of expenses that will benefit more than one accounting period are prepaid expenses or prepayments. When a company makes a payment, it debits an asset account in order to show the service or benefit that will be received in the future.

**Equation Analysis**

| Assets | | | = | Liabilities | + | Owner's Equity |
|---|---|---|---|---|---|---|
| Cash | + | Prepaid Insurance | | | | |
| -600 | | +600 | | | | |

**Debit–Credit Analysis**

Debits increase assets: debit Prepaid Insurance $600.
Credits decrease assets: credit Cash $600.

**Journal Entry**

| | | | | |
|---|---|---|---|---|
| Oct. 4 | Prepaid Insurance | 130 | 600 | |
| | Cash | 101 | | 600 |
| | (Paid one-year policy; effective date October 1) | | | |

**Posting**

Cash 101

| | | | | | |
|---|---|---|---|---|---|
| Oct. | 1 | 10,000 | Oct. | 3 | 900 |
| | 2 | 1,200 | | 4 | 600 |

Prepaid Insurance 130

| | | | | | |
|---|---|---|---|---|---|
| Oct. | 4 | 600 | | | |

**Transaction** — On October 5, Pioneer purchases an estimated 3-month supply of advertising materials on account from Aero Supply for $2,500.

**Basic Analysis** — The asset Supplies increases $2,500; the liability Accounts Payable increases $2,500.

**Equation Analysis**

| Assets | = | Liabilities | + | Owner's Equity |
|---|---|---|---|---|
| Supplies | = | Accounts Payable | | |
| +2,500 | = | +2,500 | | |

**Debit–Credit Analysis** — Debits increase assets: debit Supplies $2,500. Credits increase liabilities: credit Accounts Payable $2,500.

**Journal Entry**

| | | | | |
|---|---|---|---|---|
| Oct. 5 | Supplies | 126 | 2,500 | |
| | Accounts Payable | 201 | | 2,500 |
| | (Purchased supplies on account from Aero Supply) | | | |

**Posting**

| Supplies | | 126 |
|---|---|---|
| Oct. 5 | 2,500 | |

| Accounts Payable | | 201 |
|---|---|---|
| | Oct. 5 | 2,500 |

**Illustration 2-24**
Purchase of supplies on credit

# The Recording Process Illustrated

| | |
|---|---|
| **Event** | On October 9, Pioneer hires four employees to begin work on October 15. Each employee is to receive a weekly salary of $500 for a 5-day work week, payable every 2 weeks—first payment made on October 26. |
| Basic Analysis | A business transaction has not occurred. There is only an agreement between the employer and the employees to enter into a business transaction beginning on October 15. Thus, a debit–credit analysis is not needed because there is no accounting entry. (See transaction of October 26 for first entry.) |

**Illustration 2-25**
Hiring of employees

**Transaction** — On October 20, C. R. Byrd withdraws $500 cash for personal use.

**Basic Analysis** — The owner's equity account Owner's Drawings increases $500; the asset Cash decreases $500.

**Equation Analysis**

| Assets | = | Liabilities | + | Owner's Equity |
|---|---|---|---|---|
| | | | | Owner's Drawings |
| Cash | = | | | |
| -500 | | | | -500 |

**Debit–Credit Analysis** — Debits increase drawings: debit Owner's Drawings $500. Credits decrease assets: credit Cash $500.

**Journal Entry**

| | | | | |
|---|---|---|---|---|
| Oct. 20 | Owner's Drawings | 306 | 500 | |
| | Cash | 101 | | 500 |
| | (Withdrew cash for personal use) | | | |

**Posting**

| Cash | | | 101 |
|---|---|---|---|
| Oct. 1 | 10,000 | Oct. 3 | 900 |
| 2 | 1,200 | 4 | 600 |
| | | 20 | 500 |

| Owner's Drawings | | | 306 |
|---|---|---|---|
| Oct. 20 | 500 | | |

**Illustration 2-26**
Withdrawal of cash by owner

**Transaction**

On October 26, Pioneer owes employee salaries of $4,000 and pays them in cash. (See October 9 event.)

**Basic Analysis**

The expense account Salaries and Wages Expense increases $4,000; the asset Cash decreases $4,000.

**Equation Analysis**

| Assets | = | Liabilities | + | Owner's Equity |
|---|---|---|---|---|
| | | | | Salaries and Wages Expense |
| Cash | = | | | |
| -4,000 | | | | -4,000 |

**Debit–Credit Analysis**

Debits increase expenses: debit Salaries and Wages Expense $4,000.
Credits decrease assets: credit Cash $4,000.

**Journal Entry**

| | | | | |
|---|---|---|---|---|
| Oct. 26 | Salaries and Wages Expense | 726 | 4,000 | |
| | Cash | 101 | | 4,000 |
| | (Paid salaries to date) | | | |

**Posting**

| Cash | | | 101 | Salaries and Wages Expense | | | 726 |
|---|---|---|---|---|---|---|---|
| Oct. 1 | 10,000 | Oct. 3 | 900 | Oct. 26 | 4,000 | | |
| 2 | 1,200 | 4 | 600 | | | | |
| | | 20 | 500 | | | | |
| | | 26 | 4,000 | | | | |

**Illustration 2-27**
Payment of salaries



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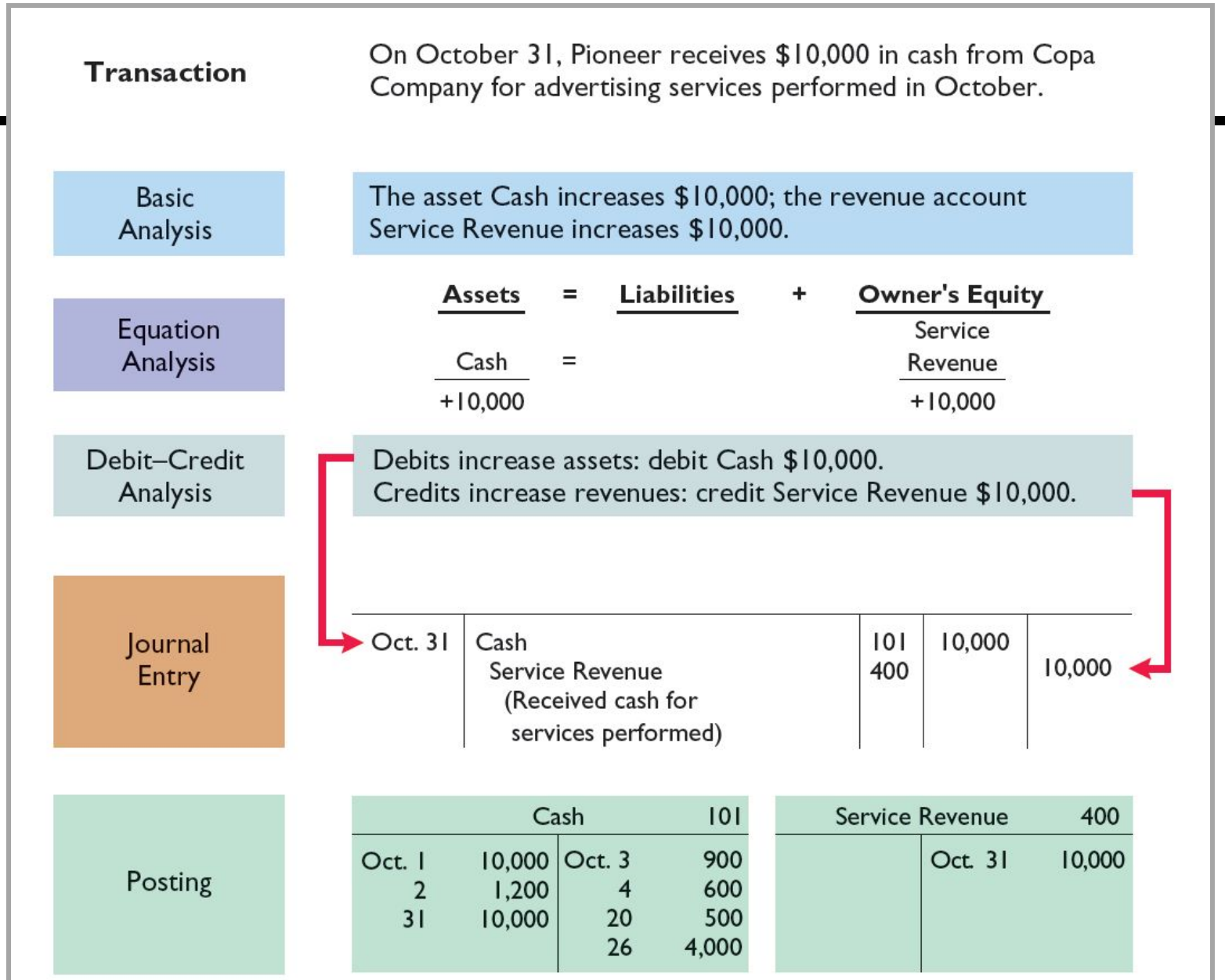



**Illustration 2-28**
Receipt of cash for services performed



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# Summary Journalizing and Posting

Illustration 2-29

| GENERAL JOURNAL | | | | PAGE J1 |
|---|---|---|---|---|
| **Date** | **Account Titles and Explanation** | **Ref.** | **Debit** | **Credit** |
| 2017 | | | | |
| Oct. 1 | Cash | 101 | 10,000 | |
| | Owner's Capital | 301 | | 10,000 |
| | (Owner's investment of cash in business) | | | |
| 1 | Equipment | 157 | 5,000 | |
| | Notes Payable | 200 | | 5,000 |
| | (Issued 3-month, 12% note for office equipment) | | | |
| 2 | Cash | 101 | 1,200 | |
| | Unearned Service Revenue | 209 | | 1,200 |
| | (Received cash from R. Knox for future service) | | | |
| 3 | Rent Expense | 729 | 900 | |
| | Cash | 101 | | 900 |
| | (Paid October rent) | | | |



*LO 3*

| GENERAL JOURNAL | | | | PAGE J1 |
|---|---|---|---|---|
| **Date** | **Account Titles and Explanation** | **Ref.** | **Debit** | **Credit** |
| 4 | Prepaid Insurance | 130 | 600 | |
| | Cash | 101 | | 600 |
| | (Paid one-year policy; effective date October 1) | | | |
| 5 | Supplies | 126 | 2,500 | |
| | Accounts Payable | 201 | | 2,500 |
| | (Purchased supplies on account from Aero Supply) | | | |
| 20 | Owner's Drawings | 306 | 500 | |
| | Cash | 101 | | 500 |
| | (Withdrew cash for personal use) | | | |
| 26 | Salaries and Wages Expense | 726 | 4,000 | |
| | Cash | 101 | | 4,000 |
| | (Paid salaries to date) | | | |
| 31 | Cash | 101 | 10,000 | |
| | Service Revenue | 400 | | 10,000 |
| | (Received cash for services performed) | | | |

## GENERAL LEDGER

**Cash** — No. 101

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2017 | | | | | |
| Oct. 1 | | J1 | 10,000 | | 10,000 |
| 2 | | J1 | 1,200 | | 11,200 |
| 3 | | J1 | | 900 | 10,300 |
| 4 | | J1 | | 600 | 9,700 |
| 20 | | J1 | | 500 | 9,200 |
| 26 | | J1 | | 4,000 | 5,200 |
| 31 | | J1 | 10,000 | | **15,200** |

**Supplies** — No. 126

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2017 | | | | | |
| Oct. 5 | | J1 | 2,500 | | **2,500** |

**Prepaid Insurance** — No. 130

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2017 | | | | | |
| Oct. 4 | | J1 | 600 | | **600** |

**Equipment** — No. 157

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2017 | | | | | |
| Oct. 1 | | J1 | 5,000 | | **5,000** |

**Notes Payable** — No. 200

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2017 | | | | | |
| Oct. 1 | | J1 | | 5,000 | **5,000** |

**Accounts Payable** — No. 201

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2017 | | | | | |
| Oct. 5 | | J1 | | 2,500 | **2,500** |

**Unearned Service Revenue** — No. 209

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2017 | | | | | |
| Oct. 2 | | J1 | | 1,200 | **1,200** |

**Owner's Capital** — No. 301

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2017 | | | | | |
| Oct. 1 | | J1 | | 10,000 | **10,000** |

**Owner's Drawings** — No. 306

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2017 | | | | | |
| Oct. 20 | | J1 | 500 | | **500** |

**Service Revenue** — No. 400

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2017 | | | | | |
| Oct. 31 | | J1 | | 10,000 | **10,000** |

**Salaries and Wages Expense** — No. 726

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2017 | | | | | |
| Oct. 26 | | J1 | 4,000 | | **4,000** |

**Rent Expense** — No. 729

| Date | Explanation | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|---|
| 2017 | | | | | |
| Oct. 3 | | J1 | 900 | | **900** |

**Illustration 2-30**



*LO 3*

LEARNING OBJECTIVE 4

# Prepare a trial balance.



**PIONEER ADVERTISING**
Trial Balance
October 31, 2017

| | Debit | Credit |
|---|---|---|
| Cash | $ 15,200 | |
| Supplies | 2,500 | |
| Prepaid Insurance | 600 | |
| Equipment | 5,000 | |
| Notes Payable | | $ 5,000 |
| Accounts Payable | | 2,500 |
| Unearned Service Revenue | | 1,200 |
| Owner's Capital | | 10,000 |
| Owner's Drawings | 500 | |
| Service Revenue | | 10,000 |
| Salaries and Wages Expense | 4,000 | |
| Rent Expense | 900 | |
| | $28,700 | $28,700 |



Illustration 2-31

# Trial Balance

## Limitations of a Trial Balance

Trial balance may balance even when:

1. A transaction is not journalized.
2. A correct journal entry is not posted.
3. A journal entry is posted twice.
4. Incorrect accounts are used in journalizing or posting.
5. Offsetting errors are made in recording the amount of a transaction.

**ETHICS NOTE**

An *error* is the result of an unintentional mistake; it is neither ethical nor unethical. An *irregularity* is an intentional misstatement, which *is* viewed as unethical.

# Dollar Signs and Underlining

## Dollar Signs

- Do not appear in journals or ledgers.
- Typically used only in the trial balance and the financial statements.
- Shown only for the first item in the column and for the total of that column.

## Underlining

- A single line is placed under the column of figures to be added or subtracted.
- Totals are double-underlined.



*LO 4*



# A Look at IFRS

**LEARNING OBJECTIVE 5**

**Compare the procedures for the accounting process under GAAP and IFRS.**

## Key Points

### Similarities

- Transaction analysis is the same under IFRS and GAAP.
- Both the IASB and the FASB go beyond the basic definitions provided in the textbook for the key elements of financial statements, that is assets, liabilities, equity, revenue, and expenses. The implications of the expanded definitions are discussed in more advanced accounting courses.



# A Look at IFRS

## Key Points

### Similarities

- As shown in the textbook, dollar signs are typically used only in the trial balance and the financial statements. The same practice is followed under IFRS, using the currency of the country where the reporting company is headquartered.
- A trial balance under IFRS follows the same format as shown in the textbook.



# A Look at IFRS

## Key Points

### Differences

- IFRS relies less on historical cost and more on fair value than do FASB standards.
- Internal controls are a system of checks and balances designed to prevent and detect fraud and errors. While most public U.S. companies have these systems in place, many non-U.S. companies have never completely documented the controls nor had an independent auditors attest to their effectiveness.



# A Look at IFRS

## Looking to the Future

The basic recording process shown in this textbook is followed by companies across the globe. It is unlikely to change in the future. The definitional structure of assets, liabilities, equity, revenues, and expenses may change over time as the IASB and FASB evaluate their overall conceptual framework for establishing accounting standards.